

# Conflict of Interest Policy · Bylaws Appendix A Record



Record copy of Appendix A to the bylaws of Luminara Institute of Light. The Conflict of Interest Policy adopted under Resolution 4 is the operative working form; this appendix is the fuller record of the same rules within the bylaws, and travels with the Conflict of Interest Policy in the corporate records.

## APPENDIX A · CONFLICT OF INTEREST POLICY

This Conflict of Interest Policy is part of the governance framework of Luminara Institute of Light. The Board may amend this policy by the same vote required to amend the bylaws, provided that the amended policy remains consistent with applicable law and tax-exemption requirements.

### Section A.1. Purpose

The purpose of this policy is to protect the Corporation's interests when it is contemplating a transaction, arrangement, compensation decision, research partnership, licensing arrangement, grant relationship, or other matter that might benefit the private interest of a Director, officer, key employee, committee member, founder, substantial contributor, family member, controlled entity, or other covered person.

### Section A.2. Covered Persons

Covered persons include Directors, officers, key employees, members of committees with delegated Board authority, persons with substantial influence over the Corporation, and any other persons designated by the Board. The Board may require additional disclosures from employees, contractors, collaborators, investigators, advisors, or volunteers whose roles create potential conflicts.

### Section A.3. Financial Interest

A person has a financial interest if the person, directly or indirectly, through business, investment, family, employment, fiduciary, intellectual-property, donor, or institutional relationships, has or may have: (a) an ownership, investment, compensation, consulting, royalty, licensing, or employment interest in an entity with which the Corporation has or is negotiating a transaction or arrangement; (b) a compensation, grant, fellowship, contract, reimbursement, loan, benefit, or other financial arrangement with the Corporation; (c) a potential ownership, investment, compensation, intellectual-property, or other financial interest in a transaction or arrangement involving the Corporation; (d) a fiduciary or leadership role in another organization

whose interests may intersect with the Corporation; or (e) a family or close personal relationship that could reasonably affect impartial decision-making. A financial interest is not necessarily a conflict of interest. A conflict exists only if the Board or authorized committee determines that a conflict exists after disclosure and review.



#### **Section A.4. Duty to Disclose**

A covered person shall disclose the existence and nature of any actual, potential, or perceived conflict of interest to the Board or authorized committee promptly and before the Corporation acts on the related matter. Disclosure shall include material facts needed for informed review.

#### **Section A.5. Determining Whether a Conflict Exists**

After disclosure and any necessary questions, the interested person shall leave the meeting while the remaining disinterested Directors or committee members discuss and determine whether a conflict exists. The interested person may be invited to provide information but shall not be present for deliberation or voting unless the Board determines otherwise in accordance with law.

#### **Section A.6. Procedures for Addressing a Conflict**

If a conflict exists, the Board or authorized committee shall determine whether the Corporation can obtain a more advantageous transaction or arrangement with reasonable effort from a person or entity that would not create a conflict. If a more advantageous alternative is not reasonably available, the disinterested Directors or committee members may approve the transaction by determining in good faith that the transaction is fair, reasonable, in the best interests of the Corporation, and consistent with its exempt purposes.

#### **Section A.7. Voting and Recusal**

An interested person shall not vote on, attempt to influence improperly, or be present for the vote on the matter giving rise to the conflict. The minutes shall reflect the disclosure, recusal, discussion, vote, and basis for approval.

#### **Section A.8. Compensation Review**

Compensation for Directors, officers, key employees, founders, or other persons with substantial influence shall be approved by disinterested Directors or an authorized committee using appropriate comparability information where available. The approval shall be documented before payment or before any material change in compensation, unless impracticable, in which case documentation shall occur as soon as possible.



### **Section A.9. Intellectual Property and Research Conflicts**

Conflicts involving intellectual property, research data, authorship, invention rights, licensing, sponsored research, human-participant research, donor influence, or technology commercialization shall be disclosed and managed with particular attention to participant protection, research integrity, private-benefit limitations, and the Corporation's exempt purposes.

### **Section A.10. Annual Statements**

Each covered person shall annually sign a statement affirming that the person has received, read, understands, and agrees to comply with this policy; has disclosed known conflicts; and understands that the Corporation is charitable and must engage primarily in activities that accomplish its exempt purposes.

### **Section A.11. Violations**

If the Board or authorized committee has reasonable cause to believe a covered person failed to disclose a conflict, it shall inform the person and allow an opportunity to explain. If, after hearing the response and making further inquiry as warranted, the Board or committee determines that the person failed to disclose a conflict, it may take appropriate corrective and disciplinary action.

### **Section A.12. Periodic Reviews**

The Board shall periodically review compensation arrangements, partnerships, transactions with insiders, research and licensing arrangements, and other matters to ensure that the Corporation operates consistently with its exempt purposes and does not provide impermissible private benefit.

### **Section A.13. Use of Outside Experts**

The Board may use outside experts, advisors, appraisers, compensation data, counsel, accountants, research ethics reviewers, or other resources to assist in conflict and reasonableness determinations. Reliance on outside experts shall not relieve the Board of responsibility for the decision.